

AUDIT INVESTIGATION REPORT

Investigation No. INV-00464 | Type: Vendor Risk Assessment

Investigation ID:	INV-00464
Investigation Type:	Vendor Risk Assessment
Status:	COMPLETED
Trigger Source:	Automated anomaly detection alert
Lead Investigator:	Brian Vazquez (EMP-65919)
Subject Employee:	Tiffany Schmidt (EMP-6028)
Related Vendor:	Acuity Systems Inc (VND-02322)
Related Transaction:	TXN-C1108675351
Scope Period:	2022-12-01 to 2023-03-31
Created Date:	2024-02-22
Completed Date:	2024-07-09
Outcome:	PARTIALLY SUBSTANTIATED

1. AUDIT QUESTION

"Identify vendors operating without a valid compliance certificate."

2. BACKGROUND

This investigation was initiated following a automated anomaly detection alert relating to activity associated with employee Tiffany Schmidt (EMP-6028) and vendor Acuity Systems Inc (VND-02322). The investigation scope covers the period 2022-12-01 to 2023-03-31 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C1108675351 (amount 54,621.35 INR, risk score 0.74). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-002620	LOW	VENDOR RISK	BLACKLISTED vendor VND-VND-03483 received payment of \$77,000 via contract CON-108735 that was not updated following blacklisting.
FND-003013	MEDIUM	POLICY BREACH	Claim EXP-109011 violates Policy POL-0009 section 4.2: Consulting expenditure capped at \$100,000 per event.

5. CONCLUSION

The investigation found **PARTIAL** support for the concerns raised. While some irregularities were confirmed, a complete policy breach could not be conclusively established for all elements of the original allegation.

6. ACTIONS TAKEN

- No further action required; control gap addressed through process update.
- Formal written warning issued and recorded in personnel file.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Brian Vazquez	EMP-65919	2024-07-09